

Audited Consolidated Financial Statements

Kuvare Bermuda Re Ltd. and Subsidiaries

For the Year Ended December 31, 2025 and 2024

With Report of Independent Auditors

Kuvare Bermuda Re Ltd. and Subsidiaries
Audited Consolidated Financial Statements
For the Year Ended December 31, 2025 and 2024

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Report of Independent Auditors

The Board of Directors
Kuvare Bermuda Re Ltd.

Opinion

We have audited the consolidated financial statements of Kuvare Bermuda Re Ltd. (the Company), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the related statements of operations and comprehensive income (loss), changes in shareholder's equity and cash flows for the years then ended, and the related notes (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company at December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Adoption of ASU No. 2018-12

As discussed in Note 2 to the consolidated financial statements, on January 1, 2025, the Company adopted ASU No. 2018-12, *Financial Services – Insurance (Topic 944), Targeted Improvements to the Accounting for Long-Duration Contracts*, with a transition date of January 1, 2024.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Ernst + Young Ltd.

Hamilton, Bermuda
April 30, 2026

Kuvare Bermuda Re Ltd. and Subsidiaries

Consolidated Balance Sheets

As of December 31, 2025 and 2024

(expressed in U.S. dollars)

	December 31, 2025 \$	December 31, 2024 \$
Assets		
Cash and cash equivalents	26,563,827	24,225,989
Fixed maturity securities, available-for-sale, at fair value (amortized cost: 2025 - \$66,115,108 and 2024 - \$111,336,897; allowance for credit losses: 2025 - \$nil and 2024 - \$nil) (notes 3 and 5)	53,023,594	99,918,732
Other investments (note 5)	53,073,202	40,277,010
Funds withheld (note 4)	3,037,260,353	3,673,707,889
Total cash and invested assets	3,169,920,976	3,838,129,620
Accrued investment income	149,061	611,605
Deferred acquisition costs (note 6)	70,860,075	85,787,273
Due from affiliates (note 11)	67,096,242	59,376,991
Accounts receivable (note 11)	6,824,288	27,500,000
Federal income tax receivable (note 14)	1,557,065	1,557,065
Deferred tax asset, net (note 14)	110,621,752	124,905,915
Other assets	3,403,906	-
Total assets	3,430,433,365	4,137,868,469
Liabilities		
Policyholders' account balance (note 8)	3,065,163,753	3,706,723,165
Unearned revenue reserve (note 7)	60,748,412	64,980,863
Derivative liabilities (notes 4 and 5)	327,203,849	414,008,795
Accounts payable and accrued expenses	9,730,074	44,628,182
Total liabilities	3,462,846,088	4,230,341,005
Shareholder's equity		
Share capital (note 9)	250,000	250,000
Additional paid-in capital (note 9)	225,828,002	219,528,002
Retained deficit	(248,148,429)	(303,266,042)
Accumulated other comprehensive loss, (net of tax: 2025 - \$2,766,144 and 2024 - \$2,397,815)	(10,342,296)	(8,984,496)
Total shareholder's equity	(32,412,723)	(92,472,536)
Total liabilities and shareholder's equity	3,430,433,365	4,137,868,469



Director

The accompanying notes are an integral part of these financial statements.

Kuvare Bermuda Re Ltd. and Subsidiaries

Consolidated Statements of Operations and Comprehensive Income (Loss)

For the years ended December 31, 2025 and 2024

(expressed in U.S. dollars)

	December 31, 2025	December 31, 2024
	\$	\$
Revenues		
Funds withheld		
Investment income from funds withheld	210,524,299	238,799,858
Realized gains (losses) from funds withheld	(26,263,953)	(55,121,378)
Derivative gains (losses) from funds withheld	4,937,535	5,185,404
Unrealized gains (losses) on embedded derivatives	86,804,945	189,286,321
Amortization of deferred acquisition costs (note 6)	(17,488,265)	(19,683,814)
Amortization of unearned revenue reserve (note 7)	4,232,451	4,361,557
Investment management expenses	(11,891,853)	(11,966,105)
Net results from funds withheld	250,855,159	350,861,843
Net investment income	6,683,636	5,526,758
Realized gains (losses) on investments	3,889,192	-
Unrealized gains (losses) on investments	(6,301,390)	(256,687)
Total revenues	255,126,597	356,131,914
Benefits and Expenses		
Claims and other insurance expenses	6,209,548	5,687,481
Interest credited to policyholders' account balances	151,333,457	166,309,000
Operating expenses	27,842,307	25,572,539
Income (Loss) before income taxes	69,741,285	158,562,894
Income tax (benefit) expense (note 14)	14,623,672	33,267,418
Net Income (Loss)	55,117,613	125,295,476
Other comprehensive income (loss), net of tax		
Unrealized gains (losses) on available for sale securities, (net of tax: 2025 - \$339,510 and 2024 - \$1,115,873)	(1,357,800)	(4,197,809)
Total other comprehensive income (loss)	(1,357,800)	(4,197,809)
Total comprehensive income (loss)	53,759,813	121,097,667

The accompanying notes are an integral part of these financial statements.

Kuvare Bermuda Re Ltd. and Subsidiaries

Consolidated Statements of Changes in Shareholder's Equity

For the years ended December 31, 2025 and 2024

(expressed in U.S. dollars)

	Share capital \$	Additional paid-in- capital \$	Retained deficit \$	Accumulated other comprehensive loss \$	Total \$
Balance, December 31, 2023	250,000	150,285,002	(428,561,518)	(4,786,687)	(282,813,203)
Net income	-	-	125,295,476	-	125,295,476
Other comprehensive loss	-	-	-	(4,197,809)	(4,197,809)
Capital contributions (note 9)	-	69,243,000	-	-	69,243,000
Balance, December 31, 2024	250,000	219,528,002	(303,266,042)	(8,984,496)	(92,472,536)
Net income	-	-	55,117,613	-	55,117,613
Other comprehensive loss	-	-	-	(1,357,800)	(1,357,800)
Capital contributions (note 9)	-	6,300,000	-	-	6,300,000
Balance, December 31, 2025	250,000	225,828,002	(248,148,429)	(10,342,296)	(32,412,723)

The accompanying notes are an integral part of these financial statements.

Kuvare Bermuda Re Ltd. and Subsidiaries

Consolidated Statements of Cash Flows

For the years ended December 31, 2025 and 2024

(expressed in U.S. dollars)

	December 31, 2025 \$	December 31, 2024 \$
Cash flows from operating activities		
Net income	55,117,613	125,295,476
Adjustments to reconcile net income to net cash flows generated by (used in) operating activities:		
Realized gains on investments	(3,889,192)	-
Unrealized losses on investments	6,301,390	256,687
Unrealized gains on embedded derivatives	(86,804,945)	(189,286,321)
Deferred income tax expense	14,623,672	34,396,819
Changes in operating assets and liabilities:		
Funds withheld	636,447,536	275,807,115
Accrued investment income	462,544	(464,577)
Deferred acquisition costs	14,927,198	11,016,194
Accounts receivable	(6,824,288)	24,383,679
Policyholders' account balance	(641,559,412)	(274,868,066)
Due from affiliates	(592,215)	419,640
Unearned revenue reserve	(4,232,451)	(4,361,556)
Accounts payable and accrued expenses	(3,959,919)	36,699,402
Federal income tax receivable	-	(1,129,400)
Net cash provided by (used in) operating activities	(19,982,469)	38,165,092
Cash flows from investing activities		
Purchases of available for sale securities	(14,057,107)	(59,190,573)
Sales of securities	9,704,450	-
Net cash used in investing activities	(4,352,657)	(59,190,573)
Cash flows from financing activities		
Additional paid in capital	33,800,000	55,119,914
Issuance of promissory note	-	(45,000,000)
Proceeds from promissory note	190,288	45,564,721
Repayment of promissory note, net	(7,317,324)	(36,801,512)
Net cash provided by financing activities	26,672,964	18,883,123
Change in cash and cash equivalents	2,337,838	(2,142,358)
Cash and cash equivalents, beginning of year	24,225,989	26,368,347
Cash and cash equivalents, end of year	26,563,827	24,225,989
Supplemental disclosures:		
Net interest received (paid) for promissory notes	(7,363,605)	(6,801,512)
Non-cash transaction – Security transfers	(29,789,271)	-
Non-cash transaction – capital contribution from parent	-	68,931,100

The accompanying notes are an integral part of these financial statements.

Kuvare Bermuda Re Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements
For the years ended December 31, 2025 and 2024
(expressed in U.S. dollars)

1. Organization and corporate structure

Kuvare Bermuda Re Ltd. (the “Company”) was incorporated as a Bermuda exempted company with limited liability on January 10, 2020 and registered as a Class C long-term insurer under The Insurance Act 1978 of Bermuda, effective September 21, 2020.

The Company is solely owned by Kuvare US Holdings Inc. (“KUS”), a holding company incorporated under the laws of Delaware. KUS is solely owned by Kuvare UK Holdings Limited, a holding company incorporated under the laws of England and Wales. Kuvare Holdings LP (“Kuvare LP”), a Cayman Islands exempted limited partnership is the direct shareholder of Kuvare UK Holdings Limited, which is ultimately held by management and long-term investors who have committed capital to Kuvare LP. The Company acquired ASF Holdings, LLC (the “Subsidiary”) effective March 31, 2024. ASF Holdings, LLC (the “Company”) is a Delaware limited liability company that was formed on August 15, 2023, under and pursuant to the Delaware Limited Liability Company Act. The Subsidiary’s purpose is to engage in investment activities to generate investment returns.

The purpose of the Company is to serve as an internal reinsurer for business from affiliated US life insurance companies.

The Company has entered into three separate quota share reinsurance agreements with affiliate cedants since its inception. The Company’s reinsurance transactions have been executed on a funds withheld basis. Reserves assumed represent products including fixed deferred annuity contracts and indexed universal life contracts. The Company is not accepting any new business under the quota share agreements.

2. Summary of significant accounting policies

a) Basis of preparation

These consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“U.S. GAAP”). The preparation of consolidated financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting year.

The Company has investments in subsidiaries in which the Company maintains a controlling economic interest. Accordingly, the Company is deemed the primary beneficiary of these investments in subsidiaries, which are consolidated.

b) Cash and cash equivalents

Cash and cash equivalents include deposits, money-market funds, and short-term highly liquid investments (maturity of less than ninety days from the date of acquisition) that are readily convertible to known amounts of cash and which are subject to an insignificant risk of change in value.

c) Fixed maturity securities

The Company’s fixed maturity securities are classified as available-for-sale, and are carried at fair value, with unrealized gains and losses, net of tax, being reported as a component of accumulated other comprehensive income (loss). Investment income is recognized as it accrues or is legally due, net of investment management and custody fees. Investment income on fixed maturity securities includes coupon interest, as well as the amortization of any premium and the accretion of any discount. Realized investment gains and losses are recognized on a first-in first-out basis and are reported in net realized gains (losses) on investments within the statement of operations.

Kuvare Bermuda Re Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements

For the years ended December 31, 2025 and 2024

(expressed in U.S. dollars)

The Company evaluates fixed maturity securities in an unrealized loss position for Current Expected Credit Losses ("CECL"). First, we assess whether we intend to sell, or it is more likely than not that we will be required to sell, the security before recovery of its amortized cost. If either of the criteria is met, the security's amortized cost is written down to its fair value. For fixed maturity securities that do not meet either criteria, we evaluate whether the decline in fair value has resulted from credit losses or other factors. In making this assessment, management considers the extent to which fair value is less than amortized cost, any changes to the rating of the security by a rating agency, and adverse conditions specifically related to the security, among other factors. If management deems a credit loss has occurred, the impairment is recorded through an allowance for credit losses rather than as a write-down. Changes in the allowance for credit losses are recorded through operations. Any impairment that has not been recorded through an allowance for credit losses is recognized in accumulated other comprehensive income on our balance sheets.

The Company records investments on a trade date basis, with any unsettled trades at year end recorded in accounts receivable or accounts payable and accrued expenses on the balance sheet.

d) Short-term investments

Short-term investments consist of financial instruments with maturities of greater than three months but less than twelve months when purchased. These are stated at fair value or amortized cost, which approximates fair value.

e) Other investments

The Company classifies equity investments as other investments, which are measured and reported at fair value through profit and loss.

f) Funds withheld

Funds withheld represents a receivable for amounts contractually withheld by ceding companies in accordance with reinsurance agreements in which the Company acts as a reinsurer. Although the assets in funds withheld are legally owned by the ceding company, the assets are separated from the general accounts of the cedants and all economic rights and obligations on the assets accrue to the Company. The underlying agreements contain embedded derivatives as discussed in derivatives.

g) Deferred acquisition costs

Deferred acquisition costs ("DAC") represents costs directly related to the successful acquisition of new and certain renewal insurance and annuity contracts. DAC is estimated using a group approach and amortized for universal life-type policies on a constant level basis based on policy count. The constant level bases used for amortization are projected using lapse assumptions that are based on experience and industry data. If those projected assumptions change in future periods, they will be reflected in the cohort level amortization basis at that time. Unexpected lapses, due to higher lapse experience than expected, are recognized in the current period as a reduction of the capitalized balances. The amortization is included in the Statements of Operations and Comprehensive Income (Loss) as Amortization of deferred acquisition costs.

h) Derivative asset and liability

Authoritative guidance for derivatives and hedging (ASC Topic 815) states that an embedded derivative shall be separated from the host contract and accounted for as a derivative if the economic characteristics and risks of the embedded derivative instrument are not clearly and closely related to the economic characteristics and risk of the host contract.

The funds withheld coinsurance agreements with the cedants results in an embedded derivative as the assets backing the liabilities are retained by the cedants, but their underlying value is determined by factors separate from the host contract, namely interest rate and credit spread movement. The embedded derivative was initially

Kuvare Bermuda Re Ltd. and Subsidiaries

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For the years ended December 31, 2025 and 2024

(expressed in U.S. dollars)

valued at zero and subsequently valued based on the change in fair value of the underlying funds withheld assets.

i) Policyholders' account balance

The Company establishes a Policyholders' account balance ("PAB") liability for customer deposits on universal life insurance and fixed deferred annuities. The policyholders' account balance liability includes all deposits plus interest credited, less charges and withdrawals, and excludes the impact of any applicable charges that may be incurred upon surrender. Interest is credited to the Policyholder's account balance at interest rates determined by the Company, which are influenced by current market rates, subject to specified minimums.

j) Unearned revenue reserve

An Unearned revenue reserve ("URR") is established when insurance contracts have expense charge structures that assess charges intended to compensate the entities for future service. They are accrued as the charges are collected and amortized in a manner consistent with methodologies and assumptions used for amortizing DAC.

k) Recognition of revenues and related expenses

The amounts collected on interest-sensitive life and investment-type reinsurance contracts are considered deposits and are recognized as part of the policyholders' account balance. Interest-sensitive life and investment-type benefits include interest credited to policyholders' account values, policy administration and benefit claims incurred in the year in excess of related policyholders' account balances.

l) Fair value measurements

Authoritative guidance for *Fair Value Measurements and Disclosures* defines fair value, establishes a framework for measuring fair value, establishes a fair value hierarchy based on the inputs used to measure fair value and enhances disclosure requirements for fair value measurements. In compliance with these principles, the Company has categorized its financial instruments, based on the priority of the inputs to the valuation technique, into a three-level hierarchy. The fair value hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1) and the lowest priority to unobservable inputs (Level 3). If the inputs used to measure fair value fall within different levels of the hierarchy, the category level is based on the lowest priority level input that is significant to the fair value measurement of the instrument. In accordance with the authoritative guidance for Fair Value Measurements and Disclosures, assets and liabilities recorded at fair value on the balance sheet are categorized as Level 1, 2 and 3.

- Level 1 - Unadjusted quoted prices in active markets for identical assets or liabilities. The Company defines an active market as a market in which transactions take place with sufficient frequency and volume to provide pricing information on an ongoing basis.
- Level 2 - Quoted prices in markets that are not active or valuation techniques that require inputs that are observable either directly or indirectly for substantially the full term of the asset or liability. Level 2 inputs include the following:
 - Quoted prices for similar assets or liabilities (other than quoted prices in Level 1) in active markets;
 - Quoted prices for identical or similar assets or liabilities in non-active markets;
 - Inputs other than quoted market prices that are observable; and
 - Inputs that are derived principally from or corroborated by observable market data through correlation or other means for substantially the full term of the assets or liabilities.
- Level 3 - Prices or valuation techniques that require inputs that are both unobservable and significant to the overall fair value measurement. These valuations, whether derived internally or obtained from a third party, use critical assumptions that are not widely available to estimate market participant expectations in valuing the asset or liability. When available, the estimated fair value of securities is based on quoted prices in active

Kuvare Bermuda Re Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements

For the years ended December 31, 2025 and 2024

(expressed in U.S. dollars)

markets that are readily and regularly obtainable. When quoted prices in active markets are not available, the determination of estimated fair value may be based on market standard valuation methodologies (pricing models), including discounted cash flow methodologies, matrix pricing, or other similar techniques, as well as significant management judgement or estimation.

m) Income taxes

On December 27, 2023, the Government of Bermuda enacted the Corporate Income Tax Act of 2023 ("Bermuda CIT"). Commencing on January 1, 2025, the Bermuda CIT generally will impose a 15% corporate income tax on entities that are tax residents in Bermuda or have a Bermuda permanent establishment and are members of multi-national groups ("MNE") with consolidated revenues in excess of €750 million for at least two of the last four fiscal years, without regard to any assurances that have been given pursuant to the Exempted Undertakings Tax Protection Act 1966. The Bermuda CIT also includes various transitional provisions and elections that may reduce the amount of tax imposed. Section 13 of the CIT excludes an entity from the scope of the corporate income tax due to the Limited International Footprint Exclusion. As of December 31, 2025, the Company is not considered to be part of an MNE group. For this reason, it has not accrued any deferred tax expense or benefit relating to the CIT as of December 31, 2025.

The Company has made an election under Internal Revenue Code ("IRC") Section 953(d) to be treated as a U.S. domestic insurance company effective January 10, 2020.

Income taxes are accounted for under the asset and liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax basis and operating loss and tax credit carry forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. A valuation allowance for a portion or all of deferred tax assets is recorded as a reduction to deferred tax assets when it is more likely than not that such portion or all of such deferred tax assets will not be realized.

n) Recently adopted accounting standards

In August 2018, the FASB issued ASU 2018-12, Financial Services-Insurance (Topic 944): Targeted Improvements to the Accounting for Long-Duration Contracts. The objective of this guidance is to improve, simplify and enhance the financial reporting of long-duration contracts by providing financial statement users with useful information in a timely and transparent manner. The primary changes include: (1) more timely recognition of assumption changes in the liability for future policy benefits and use of a current rate for the discounting of future cash flows; (2) standardization and improvement in the accounting for certain market-based options or guarantees associated with deposit (or account balance) contracts (referred to as market risk benefits); (3) simplification of the amortization of deferred acquisition costs and similar balances; and (4) enhanced disclosures.

The Company adopted ASU 2018-12 for DAC on a modified retrospective basis on January 1, 2024. There was no impact on the Company's opening retained earnings as of January 1, 2024. Adjustments arising from the adoption have been reflected in the comparative 2024 amounts presented in these financial statements.

The narrative description of the Company's significant accounting policies at the beginning of this note reflects its policies as of December 31, 2025, including the policies associated with the adoption of ASU 2018-12. The following table presents the effects of the retrospective application of the adoption of ASU 2018-12 on the Company's previously reported December 31, 2024 Consolidated Balance Sheet:

Kuvare Bermuda Re Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements
For the years ended December 31, 2025 and 2024
(expressed in U.S. dollars)

Consolidated Balance Sheet - Impacted Lines Only

	As Reported	Effects of Adopting ASU 2018-12	As Adjusted
	\$	\$	\$
Assets			
Deferred acquisition costs	91,759,438	(5,972,165)	85,787,273
Deferred tax asset	120,099,581	4,806,334	124,905,915
Total assets	4,139,034,300	(1,165,831)	4,137,868,469
Liabilities			
Future policy benefit reserves	3,706,723,165	(3,706,723,165)	-
Policyholders' account balance	-	3,706,723,165	3,706,723,165
Deferred profit liabilities	48,065,724	(48,065,724)	-
Unearned revenue reserve	-	64,980,863	64,980,863
Total liabilities	4,213,425,866	16,915,139	4,230,341,005
Shareholder's equity			
Retained earnings (deficit)	(285,185,072)	(18,080,970)	(303,266,042)
Total shareholder's equity	(74,391,566)	(18,080,970)	(92,472,536)
Total liabilities and shareholder's equity	4,139,034,300	(1,165,831)	4,137,868,469

The following table presents the effects of the retrospective application of the adoption of ASU 2018-12 on the Company's previously reported year ended December 31, 2024 Consolidated Statement of Operations and Comprehensive Income (Loss):

Consolidated Statement of Operations and Comprehensive Income (Loss) - Impacted Lines Only

	As Reported	Effects of Adopting ASU 2018-12	As Adjusted
	\$	\$	\$
Revenues:			
Amortization of deferred acquisition costs	(13,711,648)	5,972,166	(19,683,814)
Amortization of deferred profit liability	21,276,696	(21,276,696)	-
Amortization of Unearned revenue reserve	-	4,361,557	4,361,557
Total revenues	379,019,219	(22,887,305)	356,131,914
Income (loss) before income taxes	181,450,199	(22,887,305)	158,562,894
Income tax (benefit) expense	38,078,753	(4,806,335)	33,267,418
Net income (loss)	143,376,446	(18,080,970)	125,295,476
Total comprehensive income (loss)	139,178,537	(18,080,970)	121,097,667

The following table presents the effects of the retrospective application of the adoption of ASU 2018-12 on the Company's previously reported year ended December 31, 2024 Consolidated Cash Flow Statement:

Kuvare Bermuda Re Ltd. and Subsidiaries

Notes to the Consolidated Financial Statements
For the years ended December 31, 2025 and 2024
(expressed in U.S. dollars)

Consolidated Cash Flow Statement - Impacted Lines Only	As Reported	Effects of Adopting ASU 2018-12	As Adjusted
	\$	\$	\$
Cash flows from operating activities			
Net income (loss)	143,376,446	(18,080,970)	125,295,476
Adjustments to reconcile net income (loss) to net cash provided by operating activities:			
Deferred tax expense	39,203,155	(4,806,335)	34,396,819
Changes in operating assets and liabilities:			
Deferred acquisition costs	5,044,029	5,972,165	11,016,194
Deferred profit liabilities	(21,276,696)	21,276,696	-
Unearned revenue reserve	—	(4,361,556)	(4,361,556)

o) Recent accounting pronouncements

In December 2023, the FASB issued ASU 2023-09, Improvements to Income Tax Disclosures. ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. This is effective for fiscal years beginning after December 15, 2025. The Company is currently evaluating the impact of the adoption of this guidance on the financial statements.

In July 2025, the FASB issued ASU 2025-05, Financial Instruments – Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets. ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods beginning after December 15, 2026. Early adoption is permitted. The Company is currently evaluating the impact of the adoption of this guidance on the financial statements.

3. Fixed maturity securities

As of December 31, 2025, the Company's fixed maturity securities holdings were approximately \$53.0 million (2024 - \$99.9 million). The Company had commitments to other investments totalling \$Nil as of December 31, 2025 (2024 - \$Nil).

The amortized cost, gross unrealized gains and losses, and estimated fair value are shown below:

	December 31, 2025				
	Amortized Cost	Allowance for credit losses	Gross unrealized gains	Gross unrealized losses	Fair value
	\$	\$	\$	\$	\$
Fixed maturity securities, available for sale					
Corporate private placements	50,962,059	-	-	(13,283,759)	37,678,300
Asset-backed securities	5,999,953	-	16,586	-	6,016,539
Mortgage-backed securities	9,153,096	-	175,659	-	9,328,755
	<u>66,115,108</u>	<u>-</u>	<u>192,245</u>	<u>(13,283,759)</u>	<u>53,023,594</u>

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	December 31, 2024				
	Amortized	Allowance	Gross	Gross	Fair
	Cost	for credit	unrealized	unrealized	value
	\$	\$	\$	\$	\$
Fixed maturity securities, available for sale					
Corporate bonds	39,755,820	-	-	(417,892)	39,337,928
Corporate private placements	50,980,215	-	-	(11,183,145)	39,797,070
Asset-backed securities	9,999,531	-	56,255	-	10,055,786
Mortgage-backed securities	9,452,369	-	84,579	-	9,536,948
Preferred stocks	1,148,962	-	42,038	-	1,191,000
	<u>111,336,897</u>	<u>-</u>	<u>182,872</u>	<u>(11,601,037)</u>	<u>99,918,732</u>

The amortized cost and estimated fair value by contractual maturities are shown below:

	December 31, 2025		December 31, 2024	
	Amortized	Fair	Amortized	Fair
	cost	value	cost	value
	\$	\$	\$	\$
Due after one year through to five years	-	-	1,148,962	1,191,000
Due after ten years	50,962,059	37,678,300	90,736,035	79,134,998
Asset-backed and mortgage-backed securities ¹	15,153,049	15,345,294	19,451,900	19,592,734
Total	<u>66,115,108</u>	<u>53,023,594</u>	<u>111,336,897</u>	<u>99,918,732</u>

The following table sets forth certain information regarding the investment ratings of the Company's available for sale fixed maturity securities portfolio. Investment ratings are obtained from Moody's, Fitch, Standard & Poor's or other nationally recognized statistical rating organizations approved by the NAIC for each investment security.

Rating	December 31, 2025		December 31, 2024	
	Fair value	Percentage	Fair value	Percentage of
	\$	of total	\$	total
A	37,678,300	71.06%	61,338,612	61.39%
BBB	15,345,294	28.94%	37,389,120	37.42%
CCC and below	-	-	1,191,000	1.19%
Total	<u>53,023,594</u>	<u>100.00%</u>	<u>99,918,732</u>	<u>100.00%</u>

¹ Asset-backed and mortgage-backed securities, generally, have a legal stated maturity that does not correspond to the underlying cashflows and are shown as a separate category as a result.

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The following table illustrates the fair value and gross unrealized losses, aggregated by investment category and length of time that individual securities have been in a continuous unrealized loss position:

	December 31, 2025					
	Less than 12 months		12 months or more		Total	
	Fair value	Gross unrealized losses	Fair value	Gross unrealized losses	Fair value	Gross unrealized losses
	\$	\$	\$	\$	\$	\$
Fixed maturity securities						
Corporate private placements	-	-	37,678,300	(13,283,759)	37,678,300	(13,283,759)
Total	-	-	37,678,300	(13,283,759)	37,678,300	(13,283,759)

	December 31, 2024					
	Less than 12 months		12 months or more		Total	
	Fair value	Gross unrealized losses	Fair value	Gross unrealized losses	Fair value	Gross unrealized losses
	\$	\$	\$	\$	\$	\$
Fixed maturity securities						
Corporate bonds	39,337,928	(417,892)	-	-	39,337,928	(417,892)
Corporate private placements	-	-	39,797,070	(11,183,145)	39,797,070	(11,183,145)
Total	39,337,928	(417,892)	39,797,070	(11,183,145)	79,134,998	(11,601,037)

At December 31, 2025, there were 2 (2024 – 9) fixed maturity securities that were in an unrealized loss position. Of this total, 2 (2024 – 2) was in an unrealized loss position for 12 months or more. These unrealized losses related principally to current market interest rates for similar types of securities and overall economic and financial market conditions which existed during this time. In aggregate, gross unrealized losses as a percentage of amortized cost are 20.1% (2024 – 10.4%) as of December 31, 2025.

4. Funds withheld, policyholders' account balance and embedded derivatives

The following table summarizes the Company's funds withheld, policyholders' account balance and embedded derivatives by accounting classification:

Interest sensitive life and investment type	December 31, 2025 \$	December 31, 2024 \$
Assets:		
Funds withheld	3,037,260,353	3,673,707,889
Liabilities:		
Policyholders' account balance	3,065,163,753	3,706,723,165
Derivative liabilities	327,203,849	414,008,795

5. Fair value measurements

The fair values of financial instruments have been determined by using available market information and the valuation techniques described below. Considerable judgment is often required in interpreting market data to develop estimates of fair value. The use of different assumptions or valuation techniques may have a material

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effect on the estimated fair value amounts. The following table presents the carrying amounts and estimated fair values of the Company's financial instruments.

	December 31, 2025		December 31, 2024	
	Carrying value	Estimated fair value	Carrying value	Estimated fair value
	\$	\$	\$	\$
Assets:				
Fixed maturity securities	53,023,594	53,023,594	99,918,732	99,918,732
Other investments	53,073,202	53,073,202	40,277,010	40,277,010
	<u>106,096,796</u>	<u>106,096,796</u>	<u>140,195,742</u>	<u>140,195,742</u>
Liabilities:				
Embedded derivative liability	<u>327,203,849</u>	<u>327,203,849</u>	<u>414,008,795</u>	<u>414,008,795</u>

The following tables present the Company's hierarchy for its financial instruments measured at fair value on a recurring basis.

		Fair value measurements using:		
	Total	Level 1	Level 2	Level 3
	\$	\$	\$	\$
December 31, 2025				
Fixed maturity securities, fair value:				
Corporate private placements	37,678,300	-	-	37,678,300
Asset-backed securities	6,016,539	-	6,016,539	-
Mortgaged-backed securities	9,328,755	-	9,328,755	-
Other investments	53,073,202	7,324,948	-	45,748,254
Total assets	<u>106,096,796</u>	<u>7,324,948</u>	<u>15,345,294</u>	<u>83,426,554</u>
Fixed index annuities - embedded derivatives	9,899,309	-	-	9,899,309
Embedded derivative liability	327,203,849	-	327,203,849	-
Total liabilities	<u>337,103,158</u>	<u>-</u>	<u>327,203,849</u>	<u>9,899,309</u>

		Fair value measurements using:		
	Total	Level 1	Level 2	Level 3
	\$	\$	\$	\$
December 31, 2024				
Fixed maturity securities, fair value:				
Corporate bonds	39,337,928	-	39,337,928	-
Corporate private placements	39,797,070	-	-	39,797,070
Asset-backed securities	10,055,786	-	10,055,786	-
Mortgaged-backed securities	9,536,948	-	9,536,948	-
Preferred stocks	1,191,000	-	1,191,000	-
Other investments	40,277,010	-	6,393,899	33,883,111
Total assets	<u>140,195,742</u>	<u>-</u>	<u>66,515,561</u>	<u>73,680,181</u>
Fixed index annuities - embedded derivatives	9,345,188	-	-	9,345,188
Embedded derivative liability	414,008,795	-	414,008,795	-
	<u>404,663,607</u>	<u>-</u>	<u>414,008,795</u>	<u>9,345,188</u>

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Valuations for the Company's fixed maturity securities and derivative assets and liabilities are generally based on third party pricing services for identical or comparable assets or through the use of valuation methodologies using observable market inputs and are classified as Level 2. Based on the typical volumes and the lack of quoted market prices for available for sale securities, third party pricing services normally derive the security prices through recent reported trades for identical or similar securities making adjustments through the reporting date based upon available observable market information. Typical inputs include, but are not limited to, reported trades, benchmark yields, issuer spreads, bids, offers, credit default assumptions, and/or estimated cash flows and prepayment speed assumptions. If there are no recent reported trades, the third-party pricing services and brokers may use matrix or model processes to develop a security price where future cash flow expectations are developed based upon collateral performance and discounted market rate.

Level 3 Financial Instruments

The following table is a reconciliation for all level 3 financial instruments measured at fair value on a recurring basis. There were no transfers between levels for the year ended December 31, 2025 (2024 - no transfers).

	December 31, 2025	December 31, 2024
	\$	\$
Fixed maturity securities		
Balance, beginning of year	39,797,070	44,916,840
Unrealized gain (losses) included in OCI	(2,118,770)	(5,102,623)
Purchases (Sales)	-	(17,147)
Balance, end of year	37,678,300	39,797,070
Change in unrealized gains (losses) included in OCI relating to instruments held at the end of the year	(2,118,770)	(5,102,623)
	December 31, 2025	December 31, 2024
	\$	\$
Other investments		
Balance, beginning of year	33,883,111	-
Unrealized gain (losses) included in operations	(3,187,231)	(943,942)
Purchases (Sales)	15,052,374	34,827,053
Balance, end of year	45,748,254	33,883,111
Change in unrealized gains (losses) included in OCI relating to instruments held at the end of the year	-	-

The fair value of Level 3 financial instruments as of December 31, 2025 is \$83.4 million (2024 - \$73.7 million). The valuation technique and significant unobservable inputs used in the determination of fair value is the estimated illiquidity premium of 0 bps (2024 - 150 bps), representing the estimated spread to discount the security in excess of observable inputs such as treasury yields and corporate credit spreads.

6. Deferred acquisition costs

The following summarizes a roll-forward of deferred acquisition costs.

	December 31, 2025	December 31, 2024
	\$	\$
Fixed Deferred Annuities		
Balance, beginning of year	85,787,273	96,803,467
Additions	2,561,067	8,667,619
Amortization	(17,488,265)	(19,683,813)
Balance, end of year	70,860,075	85,787,273

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7. Unearned revenue reserve

The following summarizes a roll-forward of unearned revenue reserve.

	December 31, 2025	December 31, 2024
	\$	\$
Balance, beginning of year	64,980,863	69,342,420
Amortization	(4,232,451)	(4,361,557)
Balance, end of year	60,748,412	64,980,863

8. Policyholders' account balance

The Company recognizes a liability for policyholders' account balances. The following tables summarize balances of and changes in policyholders' account balances:

	December 31, 2025			December 31, 2024		
	Fixed Deferred Annuities	Universal Life-Type Contracts	Total	Fixed Deferred Annuities	Universal Life-Type Contracts	Total
	\$	\$	\$	\$	\$	\$
Account value, beginning of year	3,543,559,869	153,953,333	3,697,513,202	3,778,833,463	192,682,329	3,971,515,792
Premiums received	76,025,355	73,047	76,098,402	183,457,762	120,654	183,578,416
Interest credited	144,899,145	11,374,011	156,273,156	158,291,596	12,764,534	171,056,130
Benefit payments, surrenders and withdrawals	(847,856,496)	(24,666,405)	(872,522,901)	(576,768,480)	(48,997,903)	(625,766,383)
Other	(2,459)	(2,847,644)	(2,850,103)	(389,698)	(2,616,280)	(3,005,978)
Account value, end of year	2,916,625,414	137,886,342	3,054,511,756	3,543,424,643	153,953,334	3,697,377,977
FAS133 adjustments	—	10,651,997	10,651,997	—	9,345,188	9,345,188
Total Policyholders' account balance end of year	2,916,625,414	148,538,339	3,065,163,753	3,543,424,643	163,298,522	3,706,723,165

	December 31, 2025	December 31, 2024
Weighted-average interest crediting rate	4.41 %	4.29 %
Net amount at risk	\$ 22,988,744	\$ 33,075,261
Cash surrender value	\$ 2,971,951,021	\$ 3,569,183,272

The following tables present the gross account values by range of guaranteed minimum crediting rates and the related range of difference, in basis points, between rates being credited to policyholders' and the respective guaranteed minimums:

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December 31, 2025				
	0-100 Basis Points Above	101-200 Basis Points Above	Greater Than 201 Basis Points Above	Total
Guaranteed minimum crediting rates:	\$	\$	\$	\$
Less than or equal to 1.00%	15,956,271	17,725,805	1,592,981,997	1,626,664,072
2.01% to 3.00%	138,489,497	—	—	138,489,497
3.01% to 4.00%	36,531,266	—	—	36,531,266
Greater than 4.01%	1,252,826,921	—	—	1,252,826,921
Total	1,443,803,954	17,725,805	1,592,981,997	3,054,511,756

December 31, 2024				
	0-100 Basis Points Above	101-200 Basis Points Above	Greater Than 201 Basis Points Above	Total
Guaranteed minimum crediting rates:	\$	\$	\$	\$
Less than or equal to 1.00%	22,147,129	37,062,439	2,160,038,264	2,219,247,832
2.01% to 3.00%	154,602,057	—	—	154,602,057
3.01% to 4.00%	39,299,408	—	—	39,299,408
Greater than 4.01%	1,284,228,680	—	—	1,284,228,680
Total	1,500,277,274	37,062,439	2,160,038,264	3,697,377,977

9. Share capital and additional paid-in capital

Authorized and Issued share capital

The authorized and issued share capital of the Company is \$250,000 divided into 250,000 ordinary shares, par value \$1 each.

Additional paid-in capital

During the year ended December 31, 2025, the Company received \$6.3 million (2024 - \$69.2 million) by way of additional capital contributions from its shareholder. Refer to note 10 for capital amount receivable at year end.

10. Statutory requirements

The Company operates in Bermuda and is subject to Bermuda's Insurance Account Rules, amendments thereto and related Regulations (the "Act"). Under the Act, the Company is prohibited from declaring or paying in any fiscal year dividends of more than 25% of its prior year's statutory capital and surplus without prior approval from the Bermuda Monetary Authority (BMA). Similarly, approval from the BMA is required before any reduction of statutory capital by more than 15% compared to the previous year statutory capital. The primary difference between financial statements prepared for insurance regulatory authorities and statements prepared in accordance with U.S. GAAP is that financial statements prepared for the insurance regulatory authorities apply prudential filters to the U.S. GAAP financial statements in order to derive the Statutory Financial Statements. Bermuda statutory surplus differs from U.S. GAAP also due to a modification that permits the Company to not measure the embedded derivative included within funds withheld coinsurance agreements at fair value.

Prudential filters refer to adjustments to eliminate non-admitted assets including goodwill and other similar intangible assets, not considered admissible for solvency purposes; and to include certain off balance sheet assets and liabilities such as guarantees and other instruments that do not relate to insurance contracts.

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The Company is licensed as a Class C Long term insurer under the Act and is required to maintain a minimum statutory solvency margin equal to the greater of a minimum solvency margin (MSM) and a percentage of the Enhanced Capital Requirement (ECR). The MSM is equal to the greater of (i) \$500,000 (ii) 1.5% of assets (iii) 25% of ECR. The ECR is calculated based on a standard risk-based capital model developed by the BMA. At December 31, 2025 and 2024, the Company's statutory capital and surplus exceeded the minimum solvency margin.

The Bermuda Solvency Capital Requirement (BSCR) employs a standard mathematical model that can relate more accurately the risks taken on by (re)insurers to the capital that is dedicated to their business. Insurers and reinsurers may adopt the BSCR model or, where an insurer or reinsurer believes that its own internal model better reflects the inherent risk of its business, an in-house model approved by the BMA. The Company has adopted the standard BSCR model. At December 31, 2025 and 2024, the Company's ECR and target capital level of 120% of ECR have both been met.

11. Related Parties

As of December 31, 2025, as part of the funds withheld coinsurance agreements with affiliated US life insurance companies, the Company has assumed liabilities totaling \$3.0 billion (2024 - \$3.7 billion).

As of December 31, 2025, the Company had an outstanding amount receivable from its shareholder of \$nil million (2024 - \$27.5 million) that related to an additional capital contribution. The balance relating to prior year end 2024 is included in accounts receivable and was subsequently received on March 13, 2025 and April 29, 2025.

As of December 31, 2025, the Company had investments in subsidiaries, included in other investments, of \$30.4 million (2024 - \$33.9). Included within the funds withheld line are advances to the subsidiary in the amount of \$1.4 million (2024 - \$5.8 million) that accrue interest at 7.25% and have a maturity date of December 31, 2038.

During 2020, the Company purchased a surplus note issued by GILICO in the principal amount of \$40.0 million from Kuvare Life Re Ltd ("KLR"), a Bermuda regulated company under common control. The surplus note accrues interest at 6% per annum and matures on December 31, 2049. The surplus note is included in fixed maturity securities, available for sale, at fair value on the balance sheet of \$30.6 million (2024 - \$32.3 million). Amounts included in net investment income for the year amounted to \$2.4 million (2024 - \$2.4 million).

During 2021, the Company purchased a surplus note issued by ULIC in the principal amount of \$10.0 million from ULIC. The surplus note accrues interest at 5.5% per annum and matures on June 30, 2051. The surplus note is included in fixed maturity securities, available for sale, at fair value on the balance sheet of \$7.1 million (2024 - \$7.5 million). Amounts included in net investment income for the year amounted to \$0.6 million (2024 - \$0.6 million).

During 2021, the Company purchased a surplus note issued by ULIC in the principal amount of \$25.0 million from ULIC. The surplus note is included in the funds withheld on the balance sheet and accrues interest at 5.5% per annum and matures on December 31, 2051. The fair value of the note as of December 31, 2025 is \$nil (2024 - \$18.7 million). Amounts included in net investment income from funds withheld for the year amounted to \$1.3 million (2024 - \$1.9 million).

During 2021, the Company issued an unsecured promissory note to KLR. The promissory note receivable from KLR accrues interest at Term Secured Overnight Financing Rate (SOFR), plus the relevant lending rate applicable to the parent company, plus 1% per annum and is due up to 10 years from the date of the agreements. As of December 31, 2025, the amount receivable related to this promissory note was \$nil (2024 - \$0.2 million). Interest income in the year amounted to \$nil (2024 - \$0.8 million).

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During 2023, the Company issued a promissory note to KUS. The promissory note is collateralized by a letter of credit equal to the principal amount. The promissory note receivable from KUS accrues interest at a fixed rate of 7.46% per annum and is due up to 5 years from the date of the agreement. As of December 31, 2025, the amount receivable related to this promissory note was \$69.8 million (2024 - \$60.1 million). Interest income for the year amounted to \$9.8 million (2024 - \$3.9 million).

During 2022, the Company entered into borrowing agreements with LBL, ULIC and GILICO. Borrowings under these agreements accrue interest at SOFR, plus 3.75% per annum and are due up to 10 years from the date of the agreements. As of December 31, 2025, the total amount due to affiliates under these agreements amounted to \$0.4 million, \$1.0 million, and \$1.3 million (2024 - \$0.6 million, \$0.1 million, and \$0.2 million) to LBL, ULIC and GILICO respectively. Interest expensed in the period amounted to \$9.2 million (2024: \$5.1 million).

Further, as part of the borrowing agreements, as of December 31, 2025 the Company has committed up to \$16.8 million, \$12.1 million, and \$10.8 million (2024 - \$26.2 million, \$12.4 million, and \$23.9 million) to LBL, ULIC and GILICO, respectively over the course of the reinsurance agreement to secure certain losses already reflected in gain (losses) on embedded derivatives.

As of December 31, 2025, included in accounts payable and accruals is an amount of \$1.1 million (2024 - \$0.3 million) payable to Kuvare Corporate Management ("KCM") and a prepayment of \$1.7 million (2024 - \$1.9 million payable) to Kuvare Services Bermuda ("KSB") relating to accrued cost sharing fees, for certain services provided to the Company at agreed costs and fees pursuant to a Master Services Agreement by and among KUS, KLR, KSB, the Company, Kuvare Asset Management (Previously known as Kuvare Insurance Services Ltd.) and other parties. Amounts recognised in operating expenses and investment management expenses in the year amounted to \$27.5 (2024 - \$30.1 million).

12. Commitments and contingencies

The Company has directed a third-party party bank, Bank of Montreal ("BMO"), to issue a letter of credit in the amount of \$10 million for the benefit of the Internal Revenue Service ("IRS"). The letter of credit is a condition of IRS in granting the 953(d) election and is collateralized by qualifying assets with a fair value of \$10.7 million (2024 - \$10.3 million).

13. Concentration of credit risk

The Company is a party to financial instruments with a concentration of credit risk in the normal course of business. The creditworthiness of any counterparty is evaluated by the Company, taking into account credit ratings assigned by rating agencies. The credit approval process involves an assessment of factors including, among others, the counterparty, country and industry credit exposure limits. Collateral may be required, at the discretion of the Company, on certain transactions based on the creditworthiness of the counterparty and the nature of the liabilities. The areas where significant concentrations of credit risk may exist include fixed maturity securities, funds withheld and reinsurance balances receivable (collectively, "reinsurance assets").

For reinsurance assets, the risk of loss is mitigated by the Company's ability to offset amounts owed to the ceding company with the amounts owed to the Company by the ceding company. Mitigating factors include using financially sound custodians, investment grade collateral with further investment guidelines governing the quality of the portfolio, ceding companies with high credit rating, and ability to offset amounts owed to ceding companies with amounts due from them.

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Fixed maturity securities

The Company's investments are managed following prudent standards of diversification. The Company attempts to limit its credit exposure by purchasing a diversified pool of high quality fixed maturity securities to maintain an investment grade average portfolio that can be pledged as collateral or support retained earnings. The credit ratings of the securities are detailed in note 3.

Funds withheld assets

The assets are held and managed by the Cedants, well-established affiliated insurance companies with operations in the United States with ratings ranging from BBB (Good) to A- (Excellent). In addition, the risk of loss is mitigated by the Company's ability to offset amounts owed to the Cedants with the amounts owed to the Company by the Cedants.

14. Income taxes

The table below presents the components of the expense (benefit) for taxes attributable to continuing operations. There is no difference between income taxes expected at the U.S. Federal statutory income tax rate of 21% and reported income tax expense (benefit). The amount receivable relating to federal income taxes for year end 2025 is \$1.6 million (2024 – \$1.6 million)

	December 31, 2025	December 31, 2024
	\$	\$
Current income tax (benefit) expense	-	(1,129,401)
Deferred income tax (benefit) expense	14,623,672	34,396,822
Total income tax (benefit) expense	14,623,672	33,267,422

The table below presents the significant components of deferred tax assets and liabilities:

	December 31, 2025	December 31, 2024
	\$	\$
Deferred tax assets		
Policyholders' account balance	19,750,287	28,481,064
Unearned revenue reserve	12,757,166	13,645,981
Net operating loss carryforward	20,279,985	10,723,514
Unrealized losses	72,783,979	89,328,259
Bond market discount	-	360,915
	125,571,417	142,539,733
Deferred tax liabilities:		
Deferred acquisition costs	14,412,940	17,633,818
Bond market premium	536,725	-
	14,949,665	17,633,818
Deferred tax asset, net	110,621,752	124,905,915

15. Subsequent events

The Company has evaluated the effects of events subsequent to December 31, 2025, for recognition and disclosure, through to April 30, 2026, which is the date the financial statements were available to be issued. There were no material events that occurred subsequent to December 31, 2025, other than the letter of credit noted in note 10 above was cancelled as of March 5, 2026.